

0 on the estate attribute and, therefore, would not be well-suited for addressing Albert's main goal. In sum, given Albert's relatively low desired spending rate and desire to bequeath a large portion of his IRA to his children, he is counseled to adopt a product allocation of 88% SWiP, 12% GLiB, and 0% LPiA.

Denise's Top Retirement Priorities: Bequest and Sustainable Income

Denise is about to turn 62 years of age and retire. She has been looking forward to this stage of her life, much of which she plans to spend traveling the world with her husband. She has been employed in the public sector throughout most of her working years and will receive a reasonable inflation adjusted defined benefit pension as a result. In addition, being a diligent saver, she has accumulated a nest egg of \$1 million and would like to withdraw an inflation-adjusted income of \$55,000 or 5.5% of her nest egg to help finance the couple's retirement plans. Finally, Denise would like to leave a portion of her nest egg to her heirs as a bequest.

The trade-off that Denise faces is represented in the Figure 10.4 by the second line. She is presented with a choice of several strategies that would result in an expected discounted bequest ranging from \$19 per initial \$100 (or \$190,000) to \$25 per initial \$100 (or \$250,000). The corresponding retirement sustainability quotient ranges from 89% to 79%.

Denise feels that both goals—achieving a steady and sustainable spending rate of \$55,000 per year, as well as leaving a bequest—are equally important. She feels that she can risk falling somewhat short of her target income because the couple can also rely on her pension and the husband's retirement income to meet their spending needs. As a result, she decides to compromise between her two goals and selects the following allocation strategy. The largest proportion (57%) is to be allocated to a SWiP account to address Denise's liquidity and estate goals, while the lesser allocations to the LPiA (12%) and GLiB (31%) categories will help address longevity and sequence of returns risk to achieve a reasonable retirement sustainability quotient.